Sector Underwriting Note: Food Processing

ASHVA CAPITAL CREDIT POLICY MANUAL
SECTION 4: SECTOR-SPECIFIC UNDERWRITING STANDARDS
SUB-SECTION 4.12: FOOD PROCESSING SME LENDING

1.0 PURPOSE AND APPLICABILITY 1.1 This sub-section governs the underwriting of small and medium-sized enterprises (SMEs) operating within the Food Processing sector. Underwriters bound by this manual must strictly enforce the quantitative thresholds and qualitative constraints detailed herein. Where this sub-section is silent, the general credit underwriting standards of Ashva Capital apply.

2.0 WORKING CAPITAL CYCLE AND LIQUIDITY ASSESSMENT 2.1 The typical working capital cycle for Food Processing SMEs is established at exactly 45 days from raw material procurement to final cash realization from receivables. 2.2 Underwriters must adjust the borrower’s cash flow projections to reflect this 45-day cycle. Any deviation exceeding 15 days above the baseline requires formal justification and sign-off by the Senior Credit Manager, Sector Risk. 2.3 Inventory valuation for perishable inputs must apply a 40% discount to book value when calculating the Adjusted Net Worth (ANW) and drawing power limits.

3.0 DEB SERVICE COVERAGE RATIO (DSCR) 3.1 The minimum Debt Service Coverage Ratio (DSCR) floor for all Food Processing SME exposures is 1.25x. This aligns with the firm-wide standard. No internal exceptions or discretionary relaxations below 1.25x are permitted under any delegation matrix. 3.2 DSCR calculations must incorporate historical cash flows and stressed projections accounting for commodity price volatility in raw agricultural inputs.

4.0 PORTFOLIO CONCENTRATION AND EXPOSURE LIMITS 4.1 The maximum aggregate exposure Ashva Capital will hold in the Food Processing sector is 12 percent of the total active loan book. 4.2 As of the current review cycle, existing sector exposure stands at 9.8 percent, leaving a headroom of 2.2 percentage points for new originations. Underwriters must verify live portfolio reporting via the credit system prior to issuing conditional approval letters. 4.3 Single borrower group limits within this sector shall not exceed 15% of the total sector exposure cap.

5.0 SEASONALITY ADJUSTMENTS AND PEAK PERIODS 5.1 The designated seasonal peak for the Food Processing sector runs from October to January annually, driven by harvest cycles and festive consumption demand. 5.2 During the seasonal peak, working capital limits may be temporarily enhanced by up to

25%, provided the borrower demonstrates a minimum current ratio of 1.33x and three years of audited financials showing consistent seasonal cash generation. 5.3 Repayment schedules for seasonal facilities must be structured to ensure full bullet principal reduction or amortisation step-ups are executed by the close of February.

6.0 MAXIMUM TENOR 6.1 The maximum allowable loan tenor for term facilities in the Food Processing sector is 60 months. Working capital demand loan (WCDL) facilities shall be sanctioned for a maximum tenor of 12 months with annual review and renewal mandatory.

7.0 PRIMARY CAUSES OF DISTRESS 7.1 Underwriters must explicitly evaluate and mitigate the two primary causes of financial distress historically observed in this sector: 1. Raw Material Price Volatility: Unhedged spikes in agricultural commodity input costs that compress gross margins faster than retail price adjustments can be implemented. 2. Cold Chain and Storage Failure: Spoilage and inventory write-offs resulting from inadequate temperature-controlled logistics or power supply interruptions. 7.2 Mitigation requires mandatory verification of backup power generation infrastructure and secondary supplier contracts during the site inspection phase.

8.0 ACCEPTABLE COLLATERAL TYPES 8.1 Facilities under this sub-section must be secured by a combination of the following acceptable collateral types, meeting the specified minimum collateral coverage ratios (CCR): 1. First Charge on Fixed Assets: Plant, machinery, and processing equipment located at the primary processing facility (Minimum CCR: 1.0x of term loan value). 2. First Pari-Passu Charge on Current Assets: Inventory and book debts (Minimum CCR: 1.25x of working capital limit). 3. Collateral Property: Commercial or industrial urban real estate free from encumbrances, backed by a clean legal title search report certified by Ashva Capital's empanelled legal counsel. Agricultural land is strictly inadmissible. 4. Personal Guarantees: Unconditional and irrevocable personal guarantees of all primary promoters holding greater than 20% equity stake.

Authorized by the Chief Credit Officer

Ashva Capital Risk Management Division

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